Share sacrificed by old partner	= Old share x Proportion of share sacrificed
New share of old partner	= Old share - Share sacrificed
Share of new partner	= Sum of shares sacrificed by old partners

Illustration 12

Suresh and Dinesh are partners sharing profits in the ratio of 3:2. They admit Ramesh as a new partner. Suresh surrenders 1/5 of his share in favour of Ramesh. Dinesh surrenders 2/5 of his share in favour of Ramesh. Calculate the new profit sharing ratio and sacrificing ratio.

Solution

Computation of sacrificing ratio and new profit sharing ratio

Old share = 3:2 that is, Suresh $\frac{3}{5}$ and Dinesh $\frac{2}{5}$

Share sacrificed = Old share x Proportion of share sacrificed

Suresh $= \frac{3}{5} \times \frac{1}{5} = \frac{3}{25}$

Dinesh $= \frac{2}{5} \times \frac{2}{5} = \frac{4}{25}$

Sacrificing ratio of Suresh and Dinesh is $\frac{3}{25}$ and $\frac{4}{25}$, that is, 3:4

New share = Old share - Share sacrificed

Suresh $= \frac{3}{5} - \frac{3}{25} = \frac{15-3}{25} = \frac{12}{25}$

Dinesh $= \frac{2}{5} - \frac{4}{25} = \frac{10-4}{25} = \frac{6}{25}$

Share of new partner = Sum of shares sacrificed by Suresh and Dinesh

Ramesh $= \frac{3}{25} + \frac{4}{25} = \frac{3+4}{25} = \frac{7}{25}$

New profit sharing ratio of Suresh, Dinesh and Ramesh = $\frac{12}{25} : \frac{6}{25} : \frac{7}{25}$ that is, 12:6:7

Illustration 13

Prasanth and Nisha are partners sharing profits and losses in the ratio of 3:2. They admit Ramya as a new partner. Prasanth surrenders 2/5 of his share and Nisha surrenders 2/5 of her share in favour of Ramya. Calculate the new profit sharing ratio and sacrificing ratio.

Solution

Computation of sacrificing ratio and new profit sharing ratio

Old share = 3:2 that is, Prasanth $\frac{3}{5}$ and Nisha $\frac{2}{5}$

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